

How to come up with a capital structure for a firm: Main steps

- 1. Understand the underlying economics of the business
 - Strategic goals
 - Risks
- 2. Determine capital structure target – static trade-off
 - Qualitatively
 - Quantitatively
- 3. How do we reach target? – dynamic trade-offs
 - More on this in MCO
- 4. Evaluate alternatives in a pro-forma model
 - In Diageo, this step is very elaborate

→ “Optimal” capital structure